

Quaxinov Staffing Services, LLC

MEMORANDUM

To	Audit file
From	Edward Vixmore, Controller
Date	01/30/2026
Re	Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on customer staffing-service receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	82,757.50	0.00%	0.00	0.00	827.58
1-30	34,432.50	5.00%	3,430.68	1,721.62	344.32
31-60	14,025.00	20.00%	5,589.52	2,805.00	140.25
61-90	4,140.00	50.00%	4,124.88	2,070.00	41.40
over-90	18,370.00	100.00%	36,605.86	18,370.00	183.70
Total	153,725.00			24,966.62	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	1,500,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	1,500,000.00	93,750.00	18,750.00	75,000.00	5.00%

Quaxinov Staffing Services, LLC (continued)

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	1,500,000.00	375,000.00	75,000.00	300,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	1,500,000.00	937,500.00	187,500.00	750,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	1,500,000.00	1,875,000.00	375,000.00	1,500,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	82,757.50	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	34,432.50	1,721.62	1,721.62	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	14,025.00	2,805.00	2,805.00	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	4,140.00	2,070.00	2,070.00	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	18,370.00	18,370.00	18,370.00	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: customer concentration, assignment demand, collection cadence, and labor- market conditions affecting the customer staffing-service receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	24,966.62
Judgmental sensitivity (not a known misstatement)	1,537.26
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-23806	current	2,362.50	0.00	2,362.50	Covered by aging-pool reserve; no specific-loss indicator
INV-23799	current	5,310.00	0.00	5,310.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23803	current	5,475.00	0.00	5,475.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23813	current	3,510.00	3,510.00	0.00	Collected after year end; no specific reserve
INV-23778	current	3,330.00	0.00	3,330.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23820	current	3,325.00	3,325.00	0.00	Collected after year end; no specific reserve
INV-23798	current	2,880.00	2,880.00	0.00	Collected after year end; no specific reserve
INV-23804	current	4,987.50	0.00	4,987.50	Covered by aging-pool reserve; no specific-loss indicator
INV-23796	current	2,535.00	2,535.00	0.00	Collected after year end; no specific reserve
INV-23800	current	4,077.50	4,077.50	0.00	Collected after year end; no specific reserve
INV-23786	current	3,445.00	3,445.00	0.00	Collected after year end; no specific reserve
INV-23811	current	4,440.00	4,440.00	0.00	Collected after year end; no specific reserve
INV-23824	current	4,210.00	0.00	4,210.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23808	current	2,410.00	2,410.00	0.00	Collected after year end; no specific reserve
INV-23812	current	5,000.00	5,000.00	0.00	Collected after year end; no specific reserve
INV-23823	current	3,080.00	0.00	3,080.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23817	current	4,387.50	4,387.50	0.00	Collected after year end; no specific reserve
INV-23816	current	4,182.50	4,182.50	0.00	Collected after year end; no specific reserve

Quaxinov Staffing Services, LLC (continued)

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-23825	current	3,010.00	3,010.00	0.00	Collected after year end; no specific reserve
INV-23805	current	5,220.00	5,220.00	0.00	Collected after year end; no specific reserve
INV-23826	current	5,440.00	5,440.00	0.00	Collected after year end; no specific reserve
INV-23794	current	140.00	140.00	0.00	Collected after year end; no specific reserve
INV-23774	1-30	3,740.00	3,740.00	0.00	Collected after year end; no specific reserve
INV-23727	1-30	3,675.00	3,675.00	0.00	Collected after year end; no specific reserve
INV-23728	1-30	3,780.00	0.00	3,780.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23724	1-30	3,850.00	3,850.00	0.00	Collected after year end; no specific reserve
INV-23781	1-30	3,120.00	3,120.00	0.00	Collected after year end; no specific reserve
INV-23729	1-30	4,550.00	4,550.00	0.00	Collected after year end; no specific reserve
INV-23736	1-30	5,477.50	5,477.50	0.00	Collected after year end; no specific reserve
INV-23693	1-30	6,240.00	6,240.00	0.00	Collected after year end; no specific reserve
INV-23691	31-60	5,355.00	5,355.00	0.00	Collected after year end; no specific reserve
INV-23649	31-60	2,600.00	2,600.00	0.00	Collected after year end; no specific reserve
INV-23689	31-60	2,550.00	2,550.00	0.00	Collected after year end; no specific reserve
INV-23690	31-60	3,260.00	0.00	3,260.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23686	31-60	260.00	0.00	260.00	Covered by aging-pool reserve; no specific-loss indicator
INV-23646	61-90	4,140.00	4,140.00	0.00	Collected after year end; no specific reserve
INV-23604	over-90	2,340.00	2,340.00	0.00	Collected after year end; no specific reserve
INV-23562	over-90	140.00	140.00	0.00	Collected after year end; no specific reserve
INV-23305	over-90	4,280.00	4,280.00	0.00	Collected after year end; no specific reserve
INV-23322	over-90	4,305.00	4,305.00	0.00	Collected after year end; no specific reserve
INV-23337	over-90	3,600.00	3,600.00	0.00	Collected after year end; no specific reserve
INV-23325	over-90	3,705.00	3,705.00	0.00	Collected after year end; no specific reserve

Edward Vixmore